

Lesson 2.4: Preference

Decision-making under uncertainty

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Indifference

	d	w
S	120	85
F	150	75

	s_1	s_2
A	1	0
B	0	1

Definition (Indifference)

A decision-maker who prefers two alternatives equally is said to be *indifferent* between them.

- indifference means *equal* preference, not “don't know which I prefer”

Dominance

	s_1	s_2
A	4	2
B	3	2

Definition (Strict dominance)

Alternative A *strictly dominates* alternative B iff in every state A is more preferred than B.

Definition (Weak dominance)

Alternative A *weakly dominates* alternative B iff in some state A is more preferred than B and in no state is B more preferred than A.

Admissibility

	d	w
S	120	85
F	150	75

	s_1	s_2
A	4	2
B	3	2

Definition (Admissible)

An alternative is said to be *inadmissible* iff it is weakly dominated by another alternative; it is *admissible* iff it's not inadmissible.

Example

	s_1	s_2	s_3
A	3	4	2
B	4	5	3
C	3	3	4